NEIGHBORHOOD GOLF CARTS

June 2026 CFO / CEO Boardroom Report

Prepared by PA Golf Cart World - Business Consulting Division

Confidential - Internal Business Review

Report Status and Revision Control

This RevB June 2026 boardroom report uses NGC's revised QuickBooks financial reports issued after deferred bank-register recordings and related cleanup updates. The report remains revision-controlled because later bank-register entries, reclassifications, reconciliations, or cleanup adjustments may affect cash-basis timing, account classifications, and month-end interpretation.

Executive Position

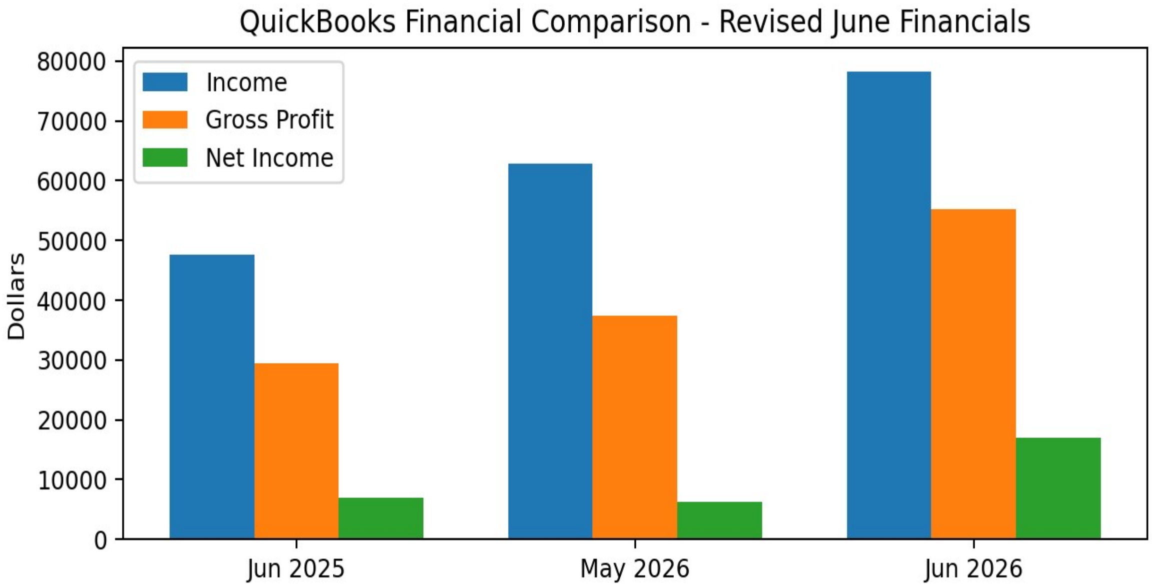
June 2026 was a materially stronger month for Neighborhood Golf Carts on both a cash-basis financial basis and an operational production basis. QuickBooks shows total income of $78,265.63, gross profit of $55,213.17, and net income of $16,938.92. Compared with June 2025, income increased 64.40% and net income increased 143.89%. Compared with May 2026, income increased 24.66% and net income increased 169.45%.

The correct interpretation is that June was not only a higher-revenue month; it was also a better-controlled profitability month. COGS declined 8.89% from May while income increased 24.66%, producing a meaningful expansion in QuickBooks gross margin. This improvement must be read through NGC's cash-basis accounting method and cost-classification structure, because QuickBooks gross margin does not represent the same thing as Housecall Pro job-level operational gross margin.

Operationally, HCP shows $75,626.38 in completed-job revenue and $83,794.17 in paid-in-full revenue. The higher paid-in-full number is not a production overstatement; it reflects prior-period uncollected work that was paid during June. For business decisioning, QuickBooks should be used for cash-basis financial performance, HCP completed jobs should be used for June production performance, and HCP paid-in-full should be used to evaluate collection timing and cash receipt activity.

Board Dashboard

Metric	June 2026	May 2026	June 2025	Board Interpretation
QBO Total Income	$78,265.63	$62,783.10	$47,606.98	Strong MoM and YoY cash-basis expansion.
QBO Gross Profit	$55,213.17	$37,481.19	$29,522.93	Gross profit materially outpaced income growth, although revised COGS reduced the prior draft margin.
QBO Gross Margin	70.55%	59.70%	62.01%	COGS control improved vs May, but less sharply than the prior draft.
QBO Net Income	$16,938.92	$6,286.44	$6,945.18	June converted revenue into profit effectively after revised postings.
QBO Net Margin	21.64%	10.01%	14.59%	Net margin remained above board-level acceptable range.
HCP Completed Revenue	$75,626.38	N/A	N/A	Use for June production output.
HCP Paid-in-Full Revenue	$83,794.17	N/A	N/A	Includes carryover collections from prior-period work.



Financial Performance Review - QuickBooks Cash Basis

June closed with $78,265.63 in total income, $23,052.46 in COGS, $55,213.17 in gross profit, $37,489.58 in operating expenses, and $16,938.92 in net income after $784.70 posted to Suspense as other expense. The month produced a 70.55% QuickBooks gross margin and a 21.64% net margin.

Against May, the financial movement was materially favorable. Income increased by $15,482.53 while COGS decreased by $2,249.45. The result was a $17,731.98 increase in gross profit. Operating expenses increased by $5,510.11, but the expense increase was well below the gross profit increase, which allowed net income to rise by $10,652.48.

Against June 2025, NGC added $30,658.65 in income and $25,690.24 in gross profit. Expenses increased $14,911.83 year over year, which is material, but the business absorbed that larger cost base and still produced $9,993.74 more net income than the prior-year June period.

QuickBooks Metric	June 2026	May 2026	MoM Change	June 2025	YoY Change
Total Income	$78,265.63	$62,783.10	+24.66%	$47,606.98	+64.40%
COGS	$23,052.46	$25,301.91	-8.89%	$18,084.05	+27.47%
Gross Profit	$55,213.17	$37,481.19	+47.31%	$29,522.93	+87.02%
Operating Expenses	$37,489.58	$31,979.47	+17.23%	$22,577.75	+66.05%
Net Income	$16,938.92	$6,286.44	+169.45%	$6,945.18	+143.89%

Revenue composition shows that June was not dependent on one single line item. LFP Conversions Only remained a large revenue driver at $17,255.52, although it declined 11.79% from May. Sales and Services increased to $39,354.10, up 26.72% from May, and Services Income increased to $9,093.01, up 28.55% from May. Sales of Product Income increased to $4,917.20, up 84.71% from May. This mix indicates broader activity than only conversion work.

Expense behavior requires attention, but it did not undermine profitability. Payroll Expenses were $15,513.45, representing 19.82% of June income. Advertising and marketing totaled $3,443.84, representing 4.40% of June income. Merchant Account Fees were $2,499.47, or 3.19% of income. Small Tools increased to $1,829.91 and Website/Domain Hosting increased to $955.00; both should be reviewed for one-time versus recurring behavior.

Accounting hygiene item: the $784.70 Suspense amount should be resolved before the July report is finalized. Suspense activity weakens clean month-over-month interpretation and should not become a recurring bucket.

Balance Sheet and Liquidity Review

The June balance sheet improved materially, but the revised bank balance is lower than the prior draft reflected. Current assets increased to $41,455.42 from $27,384.34 at May month-end. Total liabilities decreased to $22,144.75 from $23,012.59. Working capital improved to $19,310.67, and the current ratio improved to 1.87 from 1.19. That is a significant liquidity improvement and gives the business more operating room than it had entering June.

Bank accounts improved from $451.70 at May month-end to $3,766.17 at June month-end. This is still a positive cash movement, especially when paired with the reduction in Stripe Capital debt from $18,914.28 to $15,068.57. The Stripe Capital balance decreased by $3,845.71 during June. However, the revised cash position reinforces the need to time owner draws against actual cleared revenue so payroll, vendor obligations, tax reserves, and shop operating needs are not stressed.

The main caution is that Undeposited Funds increased to $7,068.76 from $54.16. That does not automatically indicate a problem, but it is a reconciliation and cash-control item. It should be cleared and reconciled weekly so cash, HCP, Stripe, and bank records stay decision-grade.

Owner draw timing should also remain under review. Ryan should attempt to align owner draws with actual revenue received and cleared cash availability so payroll, vendor obligations, tax reserves, and operating accounts are not stressed by draw timing. Owner distributions are not an operating expense, but they directly reduce cash available to fund payroll, parts purchasing, taxes, and vendor accounts.

Balance Sheet Metric	June 30, 2026	May 31, 2026	Interpretation
Current Assets	$41,455.42	$27,384.34	Increased 51.38%.
Total Liabilities	$22,144.75	$23,012.59	Declined 3.77%.
Working Capital	$19,310.67	$4,371.75	Material improvement in short-term position.
Current Ratio	1.87	1.19	Improved materially, but below the earlier draft result.
Bank Accounts	$3,766.17	$451.70	Cash position improved, but remains a control focus.
Inventory Asset	$24,382.49	$20,670.48	Inventory increased; monitor turn rate.
Undeposited Funds	$7,068.76	$54.16	Requires weekly clearing/reconciliation.
Stripe Capital Loan	$15,068.57	$18,914.28	Debt reduced by $3,845.71.

Operational Production Review - Housecall Pro

Housecall Pro production data shows $75,626.38 in completed-job revenue for June. The Technician Leaderboard and ZIP tracking reports show $74,988.38 across 45 jobs, with an average job size of $1,666.41. The $638.00 difference between completed-job revenue and the leaderboard/ZIP total appears to be a report-basis difference within HCP and should be noted but not treated as a QuickBooks error.

HCP paid-in-full revenue was $83,794.17. This exceeds completed-job revenue by $8,167.79 because June collections included prior-period uncollected work. This is expected under NGC's cash-basis accounting method. The board-level conclusion is that June cash collections were stronger than June production alone, but production and collection data must remain separated in management reporting.

The month had 16 completed-job revenue days and 14 zero-production days by completed-date reporting. Average completed revenue per revenue-producing day was $4,726.65, while average completed revenue per calendar day was $2,520.88. The high average per production day is positive, but the number of zero-production days indicates the work cadence is still clustered.

HCP Operating Metric	June Result	Interpretation
Completed-job revenue	$75,626.38	Production value of June completed work.
Paid-in-full revenue	$83,794.17	Cash collected in June, including prior-period carryover.
Leaderboard / ZIP revenue	$74,988.38	Operational attribution basis used for staff and geography.
Completed jobs	45	Total row from HCP Leaderboard / ZIP reports.
Average job size	$1,666.41	Strong ticket quality for the month.
Completed revenue days	16 of 30	Production clustered across just over half the month.
Avg revenue per production day	$4,726.65	Strong when work is completed.
Avg revenue per calendar day	$2,520.88	Useful pacing metric for July.

Labor Utilization and Field Efficiency

HCP records 256.2 on-job hours and 87.6 travel hours, for 343.8 total field hours. Travel represented 25.5% of total field time. This is an improvement versus the January and February travel pattern, which was approximately 28% to 28.5%, and it reflects the value of moving toward a more controlled in-shop model with dedicated pickup and delivery support.

Using HCP Leaderboard revenue of $74,988.38, the business generated $292.70 per on-job hour and $218.12 per total field hour. Using the HCP Time Tracking gross margin of 44.92%, estimated operational gross profit was approximately $33,684.78, or $131.48 per on-job hour and $97.98 per total field hour.

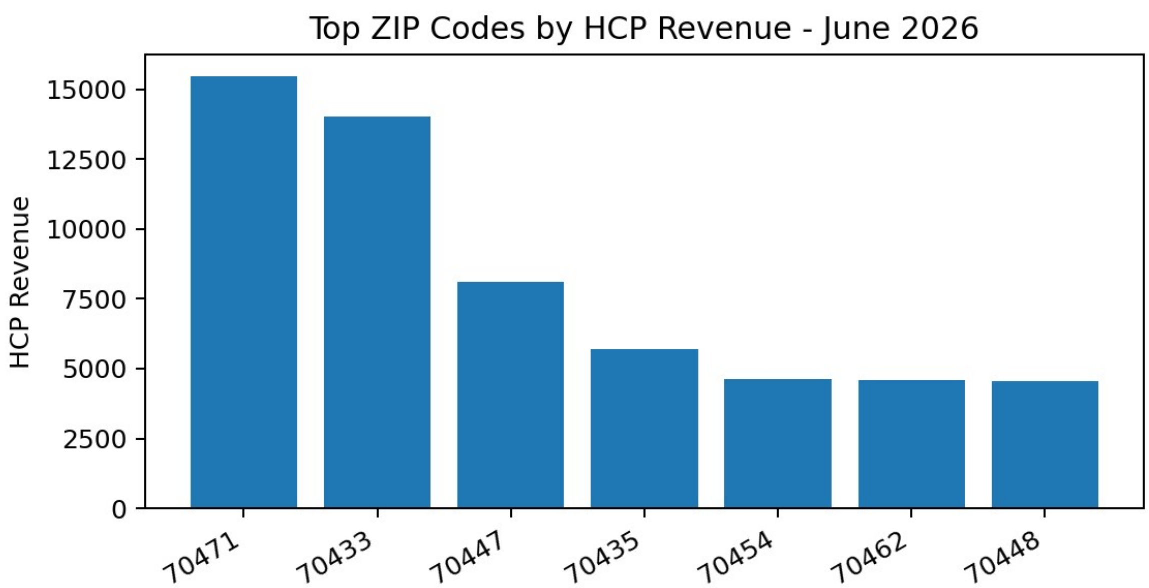
The operational gross margin of 44.92% should be read separately from the QuickBooks gross margin of 70.55%. HCP is a job-level operating view; QuickBooks is a cash-basis accounting view with different classification behavior. Both are useful, but they answer different questions.

Labor / Efficiency Metric	June Result	Board Interpretation
On-job hours	256.2	Production labor base.
Travel hours	87.6	Mostly assigned to pickup/delivery support.
Total field hours	343.8	Combined on-job and travel time.
Travel % of field time	25.48%	Improved versus early-year mobile-service baseline.
Revenue / on-job hour	$292.69	Healthy job-hour monetization.
Revenue / field hour	$218.12	Acceptable; target should move above $220.
Estimated HCP GP / field hour	$97.98	Near $100; July target should exceed $100.
HCP operational margin	44.92%	Requires pricing and cost discipline to hold or improve.

Geographic Performance and Dispatch Density

June revenue remained geographically concentrated, which is positive for route planning and targeted marketing. The top two ZIP codes, 70471 and 70433, produced $29,483.47, or 39.3% of ZIP-tracked revenue, from 26.7% of jobs. The top five ZIP codes produced $47,924.14, or 63.9% of revenue, from 53.3% of jobs. The top ten ZIP codes produced 88.3% of ZIP-tracked revenue from 73.3% of jobs.

The most important dispatch conclusion is that 70433 remains a core operating market, while 70471 produced the highest revenue and average job size in June. These two ZIP codes should receive priority routing attention and customer acquisition focus. Lower-revenue single-stop ZIPs should be protected by minimum diagnostic, pickup/delivery, and trip economics so they do not dilute field-hour profitability.



ZIP Code	Revenue	Jobs	Avg Job Size	Revenue Share
70471	$15,459.25	4	$3,864.81	20.62%
70433	$14,024.22	8	$1,753.03	18.70%
70447	$8,106.35	5	$1,621.27	10.81%
70435	$5,713.07	5	$1,142.61	7.62%

70454	$4,621.25	2	$2,310.63	6.16%
70462	$4,584.25	4	$1,146.06	6.11%
70448	$4,559.40	1	$4,559.40	6.08%
39667	$4,222.00	1	$4,222.00	5.63%
70437	$2,541.10	2	$1,270.55	3.39%
70062	$2,400.25	1	$2,400.25	3.20%

Team Performance and June Personnel Action

The only June team change was that Dylan was released due to inability to assimilate into NGC's culture and reduced work initiative. No other team changes were made during June. From a CEO standpoint, this should be recorded as a culture and accountability decision rather than a simple production decision. A technician may show measurable job attribution and still be the wrong long-term fit if initiative, standards, and team behavior do not align with the business model.

The HCP technician rows are useful for directional review, but they are not clean individual profit-and-loss statements. Employee job counts and revenue attribution include shared jobs, helper roles, and split assignment behavior. The split job count is more useful than raw job count when reviewing relative contribution. For July reporting, the business should maintain a primary-tech convention so accountability and productivity can be measured consistently.

Employee	Attributed Revenue	Split Jobs	On-Job Hrs	Travel Hrs	Avg GP	Margin	Read
Marlon Gray	$32,233.30	17.08	93.3	0.0	$898.22	47.58%	Highest on-job hours and strong attribution; productive core technician.
Roy Gautreaux	$32,178.88	21.28	1.0	87.6	$642.59	42.49%	Travel-heavy support role; aligns with pickup/delivery and shop-assistant model.
Dylan Silvan	$23,061.89	10.19	72.9	0.0	$1,030.34	45.54%	Released in June; metrics do not override culture and initiative concerns.
Taylor Couvillion	$18,096.80	7.86	72.3	0.0	$995.75	43.25%	Strong June activity; evaluate training curve, accuracy, and quality control.
Payton Elkins	$13,274.79	4.86	13.6	0.0	$1,215.23	44.49%	Monday-only senior role; high-value limited-hour contribution.
Ryan White	$2,700.73	2.68	3.0	0.0	$497.77	49.32%	Owner time remains low in production hours, supporting management/sales focus.
SHOP QUEUE	$1,474.83	1.06	0.0	0.0	$511.77	36.77%	Should be minimized or clarified for clean accountability.

June Operational Governance Implemented

June was also a governance and process-control month. NGC implemented three important controls: the Shop Workflow and Scheduling SOP, the Cart Pickup / Delivery Visual Inspection Form, and revised Service Terms & Conditions for the in-shop, pickup, delivery, storage, warranty, damage-claim, and dispute-resolution model.

The Shop Workflow and Scheduling SOP establishes formal priority levels, scheduling rules, whiteboard workflow columns, daily review cadence, cart aging rules, responsibility assignments, weekly training expectations, and KPI tracking. This is directly aligned with the business shift away from unmanaged mobile routing and toward a controlled in-shop operating model.

The Driver Inspection Form creates a custody-control process for pickup and redelivery. It requires photos before loading and again at final return, captures condition checkpoints, documents discrepancies, and requires driver sign-off at pickup and redelivery. This is an important risk-control tool for damage claims and customer condition disputes.

The revised Terms & Conditions strengthen customer boundaries around authorization, diagnostic charges, storage, abandoned carts, removed parts, warranty limits, customer-supplied parts, damage claims, and dispute resolution. Together, these documents reduce ambiguity and place NGC in a stronger operational and financial control position.

In connection with the new in-shop and pickup/delivery business model, NGC was also advised to maintain access to prepaid legal services or a comparable business legal-support plan. The prior mobile-only service model did not carry the same garage-keeper, custody, storage, pickup/delivery, and transport liability profile now present in the business. Legal support should be available before a dispute develops, not only after a damage claim, storage dispute, abandoned-cart issue, or customer-authority question escalates.

CEO / CFO Risk Assessment

The main financial risk is not whether June was profitable; the business still performed well after the revised financials. The main risk is maintaining cash discipline after a strong revenue month, especially because the revised bank balance is materially lower than the earlier draft and a portion of cash-basis income reflects collections timing. Cash-basis revenue must continue to be separated from completed-job production so management does not confuse collections with current-month operating output. Undeposited Funds must be cleared promptly, and Suspense must be eliminated as a recurring accounting category.

The main operational risk is workflow consistency. The SOPs are only valuable if they are enforced daily. No elective cart should enter the shop before deposit and parts availability. No cart should sit without status visibility. Any cart approaching seven days in shop should escalate under the aging rules. Customer updates should occur at defined status changes without the customer having to chase the shop.

The main liability risk is the expanded custody profile created by the in-shop, pickup, delivery, and storage model. Garage-keeper exposure, transport damage allegations, stored-cart disputes, abandoned carts, and authorization conflicts are materially different from the prior mobile-service model. The revised terms, driver inspection form, and SOP controls reduce risk, but they do not replace the need for accessible legal guidance and properly aligned insurance coverage.

The main personnel risk is maintaining culture and initiative standards as the business scales. Dylan's termination confirms that NGC is willing to protect culture and standards. That same standard must now be applied positively through training, documentation, quality control, and measurable accountability for the remaining team.

Board Recommendations for July 2026

July should be managed as a control-and-repeat month. June proved that the business can generate strong income, protect margin, improve cash, and reduce liabilities while operating under the new shop-oriented model. The next step is to determine whether that performance can be repeated without quality drift, cart-aging buildup, authorization delays, or reporting confusion.

Financial controls should focus on keeping QuickBooks clean: clear Undeposited Funds weekly, resolve Suspense to zero, separate collected revenue from completed production in the management report, and continue monitoring Stripe Capital reduction. Expense spikes in Small Tools, Website/Domain Hosting, and Repairs & Maintenance should be reviewed for one-time versus recurring behavior.

Operational controls should focus on daily use of the whiteboard, strict cart-aging enforcement, consistent customer update notes in HCP, and no elective pickup until deposit and parts availability are confirmed. Production should be reviewed weekly by completed revenue, paid revenue, job count, average ticket, travel share, and GP per field hour.

Team controls should focus on technician documentation, training completion, and a primary-tech reporting standard. Shared job work may remain operationally necessary, but reporting should clearly identify the lead technician, helper support, and split-credit behavior. This is necessary for fair productivity review and long-term compensation or accountability decisions.

NGC should also keep recruiting active even when there is no immediate vacancy. The business should continuously advertise or collect resumes for key roles so replacement, growth, and unusually strong candidates are already in the pipeline. This reduces disruption if a position opens unexpectedly and allows NGC to act quickly when a strong technician, driver/shop assistant, service advisor, or administrative candidate becomes available.

July 2026 Operating Targets

Target Area	Recommended July Control Target
QuickBooks income	Maintain at or above $75,000, with production and collections reported separately.
Net margin	Maintain at or above 20% cash-basis net margin after cleanup of Suspense and any remaining bank-register updates.
Current ratio	Maintain above 1.75; protect the revised June liquidity recovery.
Undeposited Funds	Clear and reconcile weekly; avoid month-end buildup over seven days old.
HCP completed revenue	Maintain at or above $75,000 in completed-job production.
Completed jobs	Maintain at or above 45 completed jobs if labor capacity remains comparable.
Average job size	Maintain above $1,500.
HCP operational gross margin	Maintain at or above 45%.
Travel share	Hold at or below 25% of field time.
Revenue per field hour	Move above $220.
GP per field hour	Move above $100.
Cart aging	Zero carts over seven days without owner-reviewed reason and customer update.
Owner draw timing	Match draws to cleared revenue and cash availability so payroll, tax, and vendor accounts remain protected.
Legal support	Maintain prepaid legal services or comparable business legal access for garage-keeper, pickup/delivery, storage, and customer-dispute exposure.
Recruiting pipeline	Keep active resume collection for technician, driver/shop assistant, service advisor, and administrative roles.
Weekly training	Minimum one structured hour completed and documented.

Consultant Closing Position

June 2026 was a strong business month for Neighborhood Golf Carts, even after the revised QuickBooks financials. The business produced substantially higher cash-basis income, materially stronger net income, improved working capital, reduced Stripe Capital debt, and operated with a better travel-time profile than the early-year mobile-service baseline. The move toward controlled in-shop work, dedicated pickup/delivery support, formal workflow standards, customer documentation, and revised service terms is directionally correct.

The consultant position is to continue the model, but with disciplined controls and closer cash timing discipline. The June result should not create looseness in scheduling, parts staging, accounting cleanup, or team standards. The business is now large enough that informal management will create leakage. The July focus should be repeatability: clean books, clean workflow, clean customer communication, clean technician accountability, and no carts aging out of control.

This report should remain available for revision if deferred QuickBooks bank-register recordings or reconciliation work changes the June financial position. Any revised version should preserve the same separation between QuickBooks cash-basis financial reporting, HCP completed-production reporting, and HCP paid-in-full collection reporting.

Appendix - Source Data Used

QuickBooks: Revised June 2026 Profit and Loss compared to June 2025; revised June 2026 Profit and Loss compared to May 2026; revised June 30, 2026 Balance Sheet compared to May 31, 2026.

Housecall Pro: Jobs Revenue of Completed Jobs; Jobs Revenue Paid in Full; Technician Leaderboard; Technician Time Tracking; ZIP Code Tracking.

Operational controls: Shop Workflow and Scheduling SOP; Cart Pickup / Delivery Visual Inspection Form; revised Neighborhood Golf Carts Service Terms & Conditions.